CONVERSION FROM THE INDIRECT TO DIRECT METHOD

Learning Outcome

- demonstrate the conversion of cash flows from the indirect to direct method

An analyst may desire to review direct-format operating cash flow to review trends in cash receipts and payments (such as cash received from customers or cash paid to suppliers). If a direct-format statement is not available, cash flows from operating activities reported under the indirect method can be converted to the direct method. Accuracy of conversion depends on adjustments using data available in published financial reports. The method described in this lesson is sufficiently accurate for most analytical purposes.

Method to Convert Cash Flow from Indirect to Direct

The three-step conversion process is demonstrated for Acme Corporation in Exhibit 26. Referring again to Exhibits 9 and 10 for Acme Corporation's income statement and balance sheet information, begin by disaggregating net income of USD2,210 into total revenues and total expenses (Step 1). Next, remove any non-operating and non-cash items (Step 2). For Acme, we therefore remove the non-operating gain on the sale of equipment of USD205 and the non-cash depreciation expense of USD1,052. Then, convert accrual amounts of revenues and expenses to cash flow amounts of receipts and payments by adjusting for changes in working capital accounts (Step 3). The results of these adjustments are the items of information for the direct format of operating cash flows. These line items are shown as the results of Step 3.

Exhibit 26: Conversion from the Indirect to the Direct Method

Step 1	Total revenues	USD23,803
Aggregate all revenue and all expenses	Total expenses	21,593
	Net income	USD2,210
Step 2	Total revenue less noncash item revenues:	
Remove all noncash items from aggregated revenues and expenses and break out remaining items into relevant cash flow items	(USD23,803 – USD205) =	USD23,598
	Revenue	USD23,598
	Total expenses less noncash item expenses:	
	(USD21,593 – USD1,052) =	USD20,541
	Cost of goods sold	USD11,456
	Salary and wage expenses	4,123
	Other operating expenses	3,577
	Interest expense	246
	Income tax expense	1,139
	Total	USD20,541
Step 3	Cash received from customers[a]	USD23,543

Cash paid for other operating expenses[d]	(3,532)
Cash paid for interest[e]	(258)
Cash paid for income tax[f]	(1,134)
Net cash provided by operating activities	USD2,606

Calculations for Step 3:

[a] Revenue of $23,598 less increase in accounts receivable of $55.

[b] Cost of goods sold of $11,456 plus increase in inventory of $707 less increase in accounts payable of $263.

[c] Salary and wage expense of $4,123 less increase in salary and wage payable of $10.

[d] Other operating expenses of $3,577 less decrease in prepaid expenses of $23 less increase in other accrued liabilities of $22.

[e] Interest expense of $246 plus decrease in interest payable of $12.

[f] Income tax expense of $1,139 less increase in income tax payable of $5.

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